

the price gap between DuPont and GM widened in the expected direction, Graham took his profit.²³

However, Graham, like many another value investor after him, sometimes veered from the austere precepts of safe-and-cheap investing. A Graham only slightly younger than the master who sold GM and bought DuPont allowed himself to be hoodwinked by the crooked promoter of a company that seems to not actually have existed—at least, not in anything like the state of glowing prosperity described by the manager of the pool to which Graham entrusted his money. An electric sign in Columbus Circle, on the Upper West Side of Manhattan, did bear the name of the object of Graham's misplaced confidence, Savold Tire. But as the author of *Security Analysis* confessed in his memoir, that could have been the only tangible marker of the company's existence. "Also, as far as I knew," Graham added, "nobody complained to the district attorney's office about the promoter's bare-faced theft of the public's money." Certainly, by his own telling, Graham didn't.²⁴

By 1929, when he was 35, Graham was well on his way to fame and fortune. His wife and he kept a squadron of servants, including—for the first and only time in his life—a manservant for himself. With Jerry Newman, Graham had compiled an investment record so enviable that the great Bernard M. Baruch sought him out. Would Graham wind up his business to manage Baruch's money? "I replied," Graham writes, "that I was highly flattered—flabbergasted, in fact—by his proposal, but I could not end so abruptly the close and highly satisfactory relations I had with my friends and clients."²⁵ Those relations soon became much less satisfactory.

²³ Graham, *Memoirs*, p. 188.

²⁴ *Ibid.*, pp. 181–184.

²⁵ *Ibid.*, p. 253.